

Microsoft had now developed competency in language compilers (like BASIC) and operating systems. It had no competency or expertise in applications and noted that VisiCalc (an early spreadsheet) was growing rapidly. Eventually Excel lifted virtually all its features from Lotus 1-2-3 and VisiCalc. Word lifted most of its features from the enormously popular Word Perfect. PowerPoint was developed by a little software company in San Francisco and Microsoft acquired it.

Microsoft had no competency in networking. As networking took off in the late 1980s and early 1990s, Novell Netware became the defacto standard. Microsoft modeled most of Netware's and Unix's networking features and bundled them into Windows NT—eventually stealing the entire market from Novell.^{[15](#)}

Microsoft Money was inspired by Intuit's Quicken. This is one of the few failures the company has encountered. Microsoft was never able to make Money as good as Quicken. Eventually it threw in the towel and tried to buy Intuit. The deal never went through, and Microsoft Money remains a poor cousin to Quicken. The PocketPC was lifted from Palm Computing and Windows Mobile is effectively a clone of the Palm operating system.

When Netscape's browser showed up on the scene, Microsoft was caught flat-footed. They licensed a browser from Spyglass and eventually rolled out Microsoft Explorer. To trounce Netscape, Microsoft bundled Explorer with Windows, effectively giving it away for free. This has been the subject of extensive antitrust legal action that various governments have taken against Microsoft.

The list goes on. Xbox was inspired by Nintendo and PlayStation. SQL Server was originally licensed from Sybase. Media Player looks much like Real Player. And now Microsoft has its eyes set on Google. The MSN search team is based in the Bay Area—in Google's backyard. Microsoft has been aggressively trying to hire away talent from Google.

Microsoft repeatedly has reacted to innovation outside its walls by acting quickly and intensely to nullify the threats. They have looked for customer validation of someone else's innovation before embarking on their own. It is a very powerful strategy. A former senior Microsoft executive once told